An investor education initiative by

SBI MUTUAL FUND

A PARTNER FOR LIFE

PROS OF INVESTING THROUGH MUTUAL FUNDS

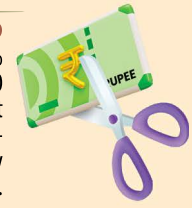
With a mutual fund, investors pool their money to invest in a diverse portfolio of assets, such as stocks, bonds, and other financial instruments. There are seven advantages when investing through them.



#1 POWER OF COMPOUNDING

This concept in mutual funds is based on an investment's potential to grow over time. When you stay invested over time, your returns, from capital appreciation or dividend reinvestment compound and work towards wealth creation.

#2 INFLATION SHIELD



Inflation erodes purchasing power. For instance, if inflation averages 6% annually, something that costs ₹1,000 today will cost about ₹1,790 in 10 years. With inflation outpacing the returns on traditional investment options, purchasing power erodes over time. Investing through equity-oriented mutual funds can help give your investments the power of equity markets which have in the past delivered better inflation-adjusted returns.



#3 RISK MITIGATION WITH DIVERSIFICATION

Structurally, mutual funds spread their investments across various assets, thereby diversifying their holdings. This feature allows them to reduce the investment risk. So, if one investment performs poorly, others can compensate, stabilising your portfolio.

#4 ACTIVE PORTFOLIO MANAGEMENT AND PROFESSIONAL EXPERTISE



Fund managers adjust portfolios in response to market dynamics, aiming to maximise returns while managing risk. Expert fund managers analyse market trends, economic indicators, and company performance to make informed investment decisions on your behalf.



#5 LIQUIDITY, FLEXIBILITY AND REGULATIONS

Mutual funds are highly liquid, meaning you can easily buy and sell them. You can also redeem your investments quickly, usually within a few days. The entire operation of mutual funds is well-regulated, addressing investors' safety concerns.

#6 ACCESSIBLE AND AFFORDABLE



You don't need a large sum to start investing in mutual funds. Many funds allow you to begin with as little as ₹100, making them accessible to everyone. The SIP (systematic investment plan) feature offered by mutual funds can make investing a regular habit.



#7 TAILORED INVESTMENT OPTIONS

Mutual funds come in various types to suit different risk appetites, from aggressive equity funds to conservative debt funds and liquid funds. The wide choice comes with a suitability matrix to address the varying needs of investors.

The time frame to invest factors in your existing cash flow, goal. This sets your investment journey in motion for the period within which you aim to reach that goal. You also have the option to track the way your investents are working to achieve a particular goal, and you could invest for different goals at the same time. The flexibility to invest through mutual funds for other financial goals can be viewed as a financial dashboard. You get a view of the progress each financial goal is making with the investments, so you can make any necessary changes.

Personal finance involves two key aspects: accumulating money and drawing down from this accumulated sum to meet your financial goals. Choosing the right investment vehicles, such as mutual funds, helps you achieve these goals while considering your risk tolerance and time horizon. Systematic investing through mutual funds has made wealth creation more tangible, enabling you to work toward multiple objectives. Online calculators allow you to explore different investment combinations and estimate the SIP contributions required for specific goals.

Mutual funds also support your wealth-creation journey by helping you manage behaviour. Investors often struggle to keep emotions in check when making decisions. Regular SIP investing reduces emotional bias and instils discipline, while automated investing helps overcome indecision. Remember, investments can rise, fall, or remain unchanged over time - this is an inherent feature of investing. What matters most is staying invested to transform your savings into a corpus for your financial goals.

An Investor Education and Awareness Initiative by SBI Mutual Fund.

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Mutual Fund investments are subject to market risks, read all scheme-related documents carefully.